

JEB147 - BEHAVIORAL ECONOMICS

INFORMATION ABOUT THE FINAL EXAM AND SAMPLE TEST QUESTIONS

1. Final exam

- The total maximum number of points from the final exam is 100.
- The exam needs to be completed in 80 minutes time.
- The final exam will consist of two types of questions:
 - Multiple-choice questions. Exactly one answer is correct.
 - Open-ended questions where you will be asked to write a text answer.
- Only positive points are awarded. No negative points are awarded in case of incorrect answer.
- The exam is closed-book. You cannot use any books, notes, headphones, smartphones, tablets, calculators or any other devices.
- The use of AI tools is not permitted.
- You can use blank papers and pens.
- There will be four dates for the final exam, one in December, two in January and one in February. The maximum number of attempts for the final exam is three. The deadline to register for the exam is two days (48 hours) before the time of the exam, and the deadline to de-register from the exam is one day (24 hours) before the time of the exam.

2. Academic integrity declaration

We regard integrity and honesty as central to the ethos of the Charles University. In the final exam, you are expected to submit only original and solely your own work. You are not allowed to seek or receive any assistance from any other person, neither to use any supporting materials or devices. You will be asked to confirm your agreement with this before you start answering the test. Only if you agree to comply with these rules, your test will be evaluated. If you do not agree, your test will be graded by the grade F.

3. Sample questions

3.1. Multiple choice questions

3.1.1. The decision-maker makes decisions in three games. In each game, she chooses between two options (π_1 , π_2) and receives payoff π_1 while her partner receives payoff π_2 . The set of games with corresponding options can be seen below:

Game 1: (2,3) vs (2,2)

Game 2: (2,2) vs (4,0)

Game 3: (3,4) vs (2,2)

Which options (Left or Right) would be chosen by an inequality-averse individual?

- ☐ Game 1 Left, Game 2 Left, Game 3 Left
- ☐ Game 1 Left, Game 2 Right, Game 3 Left
- ☐ Game 1 Right, Game 2 Left, Game 3 Right
- ☐ Game 1 Left, Game 2 Left, Game 3 Right
- ☐ Game 1 Right, Game 2 Right, Game 3 Right

3.1.2. Experimental results from the trust game typically find:

- ☐ Almost no transfers
- ☐ Trustors send 45% on average, and trustees return about one-third
- ☐ Trustees always return nothing
- ☐ Trustors always send the entire amount
- ☐ Trustees return more than was sent

3.1.3. Statistical discrimination arises because:

- ☐ Agents refuse to use information rationally
- ☐ Group membership provides signals about expected productivity
- ☐ Employers prefer diversity
- ☐ Minorities underperform due to low motivation
- ☐ Employers dislike risk

3.2. *Open-ended questions*

3.2.1. Explain why results from the ultimatum game provide evidence against purely selfish preferences.

3.2.2. Compare taste-based and statistical discrimination. Why is one considered potentially efficient while the other is not?

3.2.3. Discuss how intergroup contact can reduce prejudice. Refer to evidence from Corno et al. (2022) who study random allocation of students living in residences of the University of Cape Town to roommates.